

William Mclroy Swindon v Quinn

An insurer was not obliged to draw a commercial insured's attention to a policy term that provided that a dispute over a claim had to be referred to arbitration within nine months or the claim would be deemed abandoned.

William Mclroy Swindon Limited and another v Quinn Insurance Limited

- [2010] EWHC 2448 (TCC) Citation 2

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Facts

The insured was a building and roofing contractor. On 5th September 2006, a fire occurred at a warehouse where the insured was working. It was alleged the fire was caused by the insured's use of a blowtorch.

The insured claimed on its liability insurance but the insurer denied liability saying the insured was in breach of policy terms including a "reasonable precautions" clause. For some reason the insured did not get to hear of the insurer's repudiation until 18th February 2009 or shortly afterwards.

During 2009, three court judgments held the insured liable for causing the fire. Damages were assessed in late 2009/early 2010. No payments were made and the insured went into voluntary liquidation in February 2010. The claimants brought an action against the insurers under the Third Parties (Rights against Insurers) Act 1930.

Arbitration clause

General condition 16 of the policy provided that any dispute between the insured and the insurer: "on our liability in respect of a claim or the amount to be paid shall, in default of agreement, be referred within nine calendar months of the dispute arising, to an Arbitrator...

"If the dispute has not been referred to arbitration within the aforesaid nine-month period, then the claim shall be deemed to have been abandoned and not recoverable thereafter".

The insurer argued that the dispute arose from the moment it made it clear it was refusing to indemnify. The dispute had not been referred to arbitration within the nine-month time limit and could not now be pursued in court.

The claimants argued that a liability insurer has no liability to indemnify the insured until the insured's liability to the third parties has been established by litigation, arbitration or agreement (*Post Office v Norwich Union* [1967]). Until then no dispute about the insurer's liability could arise and so the nine-month time bar had no application.

In any event, they maintained the clause did not expressly exclude a right to pursue a claim through the court. The time bar only meant that any claim by way of arbitration would be deemed abandoned.

If it did exclude all other remedies, the claimants said it was an especially onerous clause that was buried in 11 pages of printed terms. It had not been incorporated into the contract because the insurer had not taken adequate steps to bring it fairly to the insured's attention.

Alternatively, the claimants applied for an extension of time in which to refer the dispute to arbitration under section 12 of the Arbitration Act 1996.

Judgment

The judge found that the clause clearly intended that arbitration would be the exclusive remedy for disputes between insurer and insured over claims under the policy. He also disagreed that it was particularly onerous or that it had not been incorporated into the contract.

This was a commercial insurance policy. Any reasonable businessman could be expected to know the policy would contain many detailed provisions, whether or not he read through them.

This insured had had the wording in its possession for almost two years before the policy period in question. It had had plenty of opportunity to study its terms had it wished to do so. In addition, when it sent the insured a copy of the wording, the insurer had specifically told it to read the policy carefully.

The judge accepted that the condition was unusual but not that it was unduly onerous. Nine months was a reasonably generous time in which to refer a dispute to arbitration. In fact, he would have expected any reasonable insured to dig out the policy as soon as a problem arose and he found it "extraordinary" that neither the insured nor its broker had done so.

The judge also held that a dispute within the meaning of the clause arose on or shortly after 18th February 2009, when the insured first learned that the insurer was refusing an indemnity. Under the terms of the clause, any arbitration had to be commenced before the end of November 2009.

Where an insured has notified a claim in accordance with the policy and the insurer makes a blanket refusal to indemnify that proves to be unjustified, the insurer will be in breach of contract. In normal circumstances the insured would be entitled to sue for a declaration.

In this case, the insurer had made it clear it would not be indemnifying the insured come what may, but this policy provided that such a dispute had to be referred to arbitration.

The judge distinguished these circumstances from those in *Post Office v Norwich Union*. That case established that, until the insured's liability to the third party is established and the amount ascertained, the insured (or a claimant under the 1930 Act) cannot pursue the insurer for a particular sum of money by way of indemnity. But, in his view, this did not prevent the insured from seeking declaratory relief where it alleged the insurer was in breach of contract.

As for the extension of time, the judge concluded that the English court did not have jurisdiction to grant an extension under the Arbitration Act as it was likely that Irish law applied to the insurance contract. Had he been able to do so, however, he would not have granted it.

Commentary

The decision is a reminder that a third party claimant pursuing the insurer directly under the 1930 Act will be bound by the terms of the policy. Since the insured had missed the nine-month deadline, the third party claimants had no right to bring their claim.

This was, of course a commercial insurance and the judge clearly took the view that a commercial insured should take responsibility for making itself aware of the terms of its own cover. The insurer had reminded the insured to read through the policy carefully and did not need to do more. The judge thought it would not be "either practical or helpful" to expect an insurer to draw the insured's attention to any terms that might prove onerous.

One exception, however, might be a term requiring immediate notice of a claim or circumstance, or notification within, say, 24 hours, when the judge thought an insured would not have time or opportunity to refer back to the policy.

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See: [the judgment](#)

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